

cover story IPL

FLYING START

WHILE THE IPL IS IN ITS FIRST INNINGS, TEAM OWNERS COULD BE SITTING ON BIG BUCKS. CRICKET CONTINUES TO BE A MONEY SPINNER.



■ By Malini Bhupta

It was a fight to the finish between M.S. Dhoni's canary yellow-clad Super Kings and the blue-blooded Rajasthan Royals led by the bleached blond Shane Warne. The Royals may have walked away with the first DLF Indian Premier League (IPL) trophy, but in the wider world of business every one of the eight franchise owners have headed home winners.

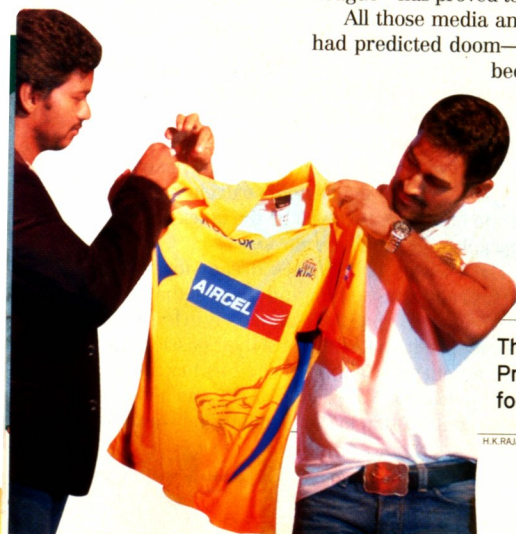
Cricket as the old conventionally-understood commercial entity is dead and there are more than a few saying long live IPL. In the last six weeks, *saas bahu* soaps and tear-jerker reality shows have found it tough to keep pace with Yousuf Pathan's sixes or Lakshmipathy Balaji's hat-trick. The IPL—though still an infant compared to the \$3.51-billion English Premier League—has proved to be a runaway hit.

All those media and marketing gurus—who had predicted doom—can now eat humble pie because valuations of the teams have trebled within weeks of the tournament kicking off. From venture capitalists to investment banks, everyone now wants a piece of the IPL action. On sale are spots—on

jerseys, shoes and sleeves—the rates for which range from Rs 3 crore to Rs 25 crore. Says Rakesh Singh, marketing manager of Chennai Super Kings: "The best part about the IPL is that you get paid for almost everything."

With a \$91.8 million (Rs 389 crore) coming in every year for media rights from Sony-World Sporting Group, \$30 million (Rs 127 crore) through central sponsorships, \$16 million (Rs 68 crore) through ticket sales, \$76 million (Rs 321 crore) from franchisee fees and another \$100 million (Rs 424 crore) through team sponsorships, the enterprise value of IPL in its first year is as much if not higher than ICC's World Cup, which had a gross turnover of \$300 million (Rs 1,270 crore). Says IPL CEO Sundar Raman, "The format has evolved as a very strong model and there is no doubt that it will be the most viewed sporting spectacle. The worth of each sponsorship will appreciate significantly because mileage and value is dramatic." The BCCI has already pulled in Rs 350 crore in the first year via its franchisee fees and share of revenues from media rights and central sponsorships.

With Mukesh Ambani paying \$111.9 million (Rs 474 crore) for the Mumbai team and the Deccan Chronicle Group paying \$107.01 million (Rs 454 crore) for the Hyderabad team over 10 years, few expected any of these franchisees to make money. With \$5-6 million (Rs 22 crore) in



The English Premier League football is worth

\$3.51 bn

while the first edition of IPL is worth only

\$313 m

H.K. RAJASHEKAR